

HYBRID eCLOSE

Hybrid eClose allows the borrower(s) to view and electronically sign the majority of their closing package ahead of the scheduled closing. The Closing Agent or Notary will only bring the documents requiring an ink signature (Note, Mortgage and any other documents requiring a Notary signature) to the scheduled closing.

HYBRID eCLOSE ELIGIBILITY REQUIREMENTS

- Purchase & Refinance transactions
- Fannie Mae, Freddie Mac, Jumbo, & HELOC Products
- Property is located in an approved State. *The following States are not eligible: Alaska, Arkansas Texas.*
- All Borrowers must provide eConsent (including Non-Obligated)
- Not closing in a trust **or with a Power of Attorney**

Important: If the loan does not meet the eligibility requirements Closing Services cannot release an eSign package even if the Borrower has agreed to eClose.

ROLES & RESPONSIBILITIES

TPO CUSTOMER

- Complete the Flagstar Hybrid eClose training. (recommended)
- Work with Settlement Agent (SA) Partners to ensure they are comfortable with the eClose process.

SA TALKING POINTS

- The closing package will be released to the customer and you simultaneously. The documents are available for **viewing only** until the day of closing.
- Only print the documents that require ink signatures in preparation for the scheduled closing ceremony with the customer.
- Electronically sign documents requiring a SA signature on the day of closing.
- Confirm all borrowers completed the electronic signing of the documents on the day of closing prior to the scheduled closing appointment.
- Only deliver wet-signed documents per the Settlement Agent Closing Instructions.
- Provide the SA and the borrowers the following Hybrid eClose Tutorials.
 - [Settlement Agent Hybrid eClose Tutorial](#)
 - [Borrower Hybrid eClose Tutorial](#)
- Identify loans that meet the Hybrid eClose eligibility criteria and review with the borrower(s). *The eClose eligible indicator is visible on the Loan information page and is an available column to add on Loan Pipeline views.*

BORROWER TALKING POINTS

- They will receive an email when the documents are ready for them to review and/or eSign.
- The Closing Package is view only until the scheduled day of closing. This allows time to review the closing documents and get any questions answered prior to their scheduled closing.
- They should complete the eSigning of the documents prior to their scheduled closing time. *They will receive a reminder email the morning of their closing date letting them know the documents are available to be electronically signed.*
- They can download and save the electronically signed closing package.
- If borrower agrees to eClose, change the Borrower eClose Approval flag to 'Yes' on the first page of the Request CD/Closing screen.
- When scheduling the closing, remind the SA and the borrowers that the loan is going to eClose.

Note: If any of the eligibility requirements are not met the closer will **not** have the ability to release a Hybrid eClose package. The loan would close as paper regardless of having Borrower eClose Approval.

OUTLINE OF THE FLAGSTAR HYBRID eCLOSE PROCESS

1. TPO Customer - preparing for eClosing
 - a. Confirm Settlement Agent (SA) is prepared to conduct an eClosing.
 - b. Obtain approval from eligible borrowers willing to participate in a Hybrid eClosing.
 - c. When scheduling the closing remind the SA and the borrower the loan will eClose.
 - d. Generate the Initial CD, as per the current process, confirm the Borrower eClose Approval reflects Yes (if borrower wishes to eClose) on the *Closing/Document Request* page in Loantrac. Follow the same steps for requesting audit review.
 - e. Collaboration with the SA.
 - i. Remind the SA the loan will be eSigned.
 - ii. When providing the SA with the Closing Disclosure, Mortgage, Note, riders, payoff, HOI also include the [Tips for a Smooth eClose Process](#) document.
 - f. Releasing the final eClose package
 - i. Once the collaboration with the SA is complete and all closing conditions have been submitted, select 'Request Document Review' to notify the ABC team the package is ready for review and releasing documents.
 - ii. The Auditor will review the closing package and, upon approval, select the Hybrid eClose package option which will notify both the SA and borrower that documents are available to be signed.
 - iii. When the final closing package is released, the Closing Package History is available on the Pickup Closing Docs page providing visibility into the type of closing package sent (Paper or Hybrid) as well as the participant signing status for Hybrid closings.
 - iv. If opted in to receive the eClose Package released to Borrower email alert, you will also receive notification when Closing Services releases the Hybrid eClose package.
2. Executing the closing
 - a. Borrower will review and electronically sign the notices and disclosures prior to the scheduled closing time. **NOTE:** The eSign experience for the borrower is the same eSign experience as the application disclosures.
 - b. SA will ensure Notary has copies of the documents requiring wet signature only prior to the loan closing.
 - c. SA will confirm all borrowers have completed eSigning the package on the day of closing.
 - d. SA will electronically sign the documents requiring SA signature.
 - e. SA or Notary will meet with the borrower to complete the signing of documents requiring ink signatures.
3. After closing
 - a. Notary returns wet signed documents to the SA.
 - b. eSigned closing package is automatically retrieved and will be available in Documents under the ESIGNED MULTIPLE DOCUMENTS Document Type once all participants have completed the eSigning of the documents.
 - c. SA returns wet signed documents back to Flagstar per the SA instructions (**only the wet-signed documents**).

Please email BrokerABC@flagstar.com with any question related to the Hybrid eClose.